

Credit Notes: New Debt Issuance: Why This Time Is Different

Market participants—across a range of asset classes—have been focused on the swift pace of new issue activity in the corporate bond markets, particularly in USD IG.

While the elevated gross issuance volumes have indeed been notable, we see three (more nuanced) patterns under the surface, which we believe have direct implications for bondholders:

1. The sharp acceleration of ‘jumbo’ new issues in 2026, which has extended the momentum from 2025. We define ‘jumbo’ as debt deals valued at \$10 billion or more, at announcement.
2. Of the jumbo deals, the share of acquisition-related financings is low. This is relevant as M&A-related debt deals are telegraphed roughly five months in advance, on average, which gives market participants time to prepare by analyzing credit metrics and adjusting portfolios.
3. The extended weighted average tenor of issuance in the Technology sector, which is roughly 3.5 years longer than the broader USD IG market. Technology has generated 60% of jumbo deals so far this year, and more than 20% of all USD IG new issue activity (across all sizes and sectors).

These factors underscore why the current period of debt issuance is different from previous periods of active re-leveraging in the credit markets. Moreover, we expect all three of these trends to persist over the next few years.

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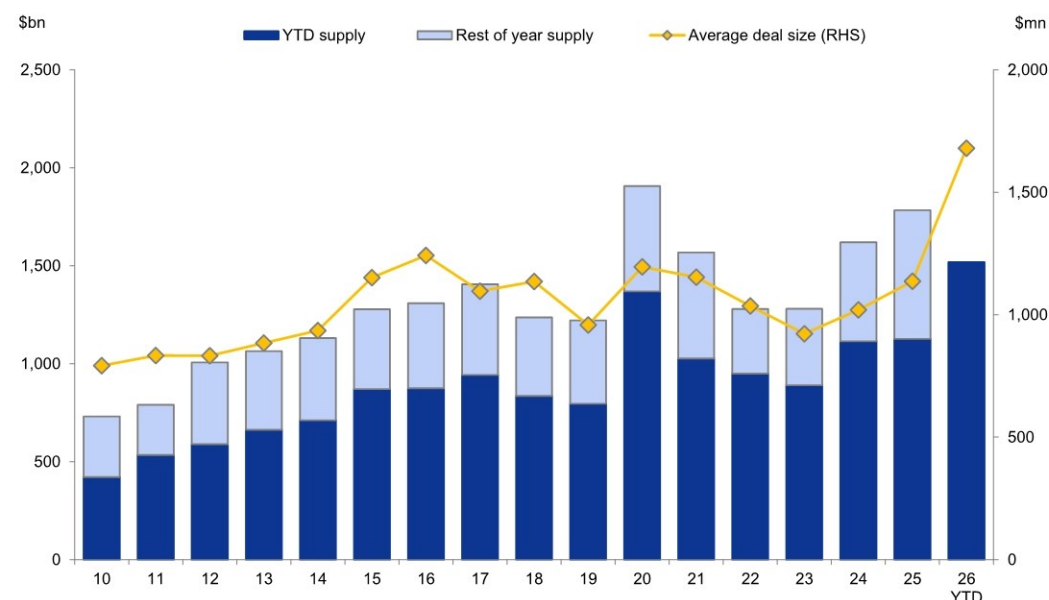
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Larger average deal sizes, more jumbo deals

USD IG issuance has already exceeded \$1.5 trillion so far this year, leaving 2026 on pace to surpass the pandemic era record. We continue to see the risks to our full-year USD IG gross supply forecast of \$2.1 trillion as skewed to the upside. Against this backdrop, the average deal size in the USD IG primary market has increased to \$1.7 billion (Exhibit 1), a new peak for the post-financial crisis era.

Exhibit 1: The average deal size in the USD IG market has reached \$1.7 billion

USD IG gross supply (\$bn) and average deal size (\$mm), RHS



As of August 8, 2026. Excludes preferred securities and medium term notes.

Source: Dealogic (ION Analytics), Goldman Sachs Global Investment Research

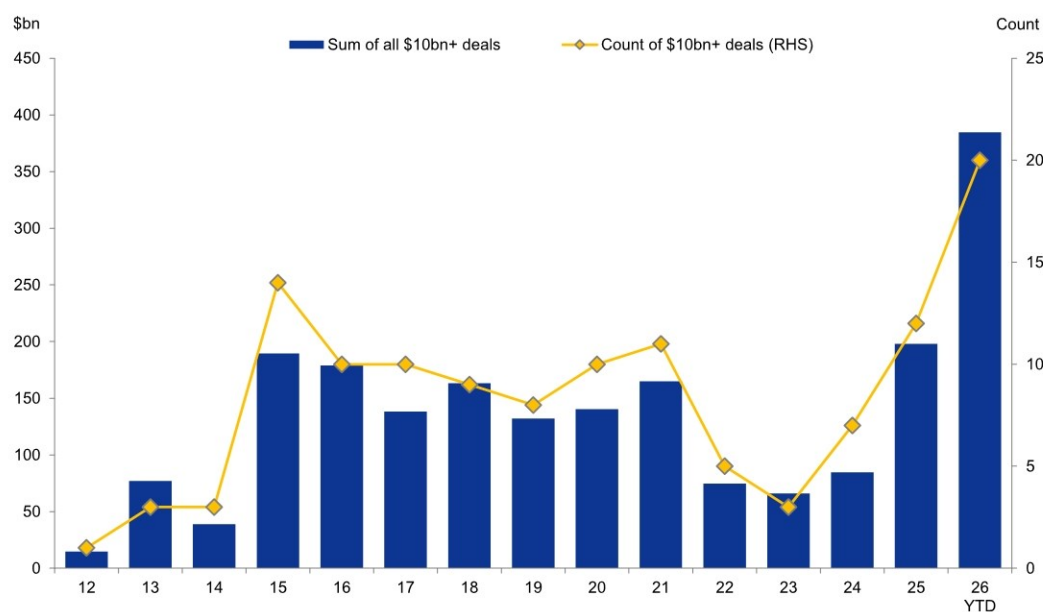
This has been driven by a sharp increase in the number of \$10 billion-plus USD IG bond deals, which we consider as 'jumbo' debt deals. So far in 2026, there have been 20 separate USD IG debt deals, each valued at \$10 billion or more at announcement. In aggregate, these jumbo deals have already generated \$384 billion of supply so far this year (Exhibit 2).

This compares to 12 jumbo (\$10 billion-plus) USD IG bond deals in full-year 2025, which generated \$194 billion of supply, in aggregate. And in 2022–2024, the number of jumbo bond deals was much lower, with just 15 deals across all three years, combined.

We believe the Fed's rate hiking cycle, which began in March 2022, likely discouraged management teams from 'locking in' such large amounts of funding at elevated interest rates during that three year period. That said, with 175bp of rate cuts delivered since September 2024 and corporates increasingly accepting of the elevated level of interest rates, jumbo financing for strategic business needs has re-accelerated.

Exhibit 2: The volume and frequency of large USD IG debt deals has accelerated in 2026

For each annual period and YTD 2026, the sum of all new USD IG debt deals valued at \$10bn or more at announcement, and the count of such deals in each period (RHS)



As of August 9, 2026.

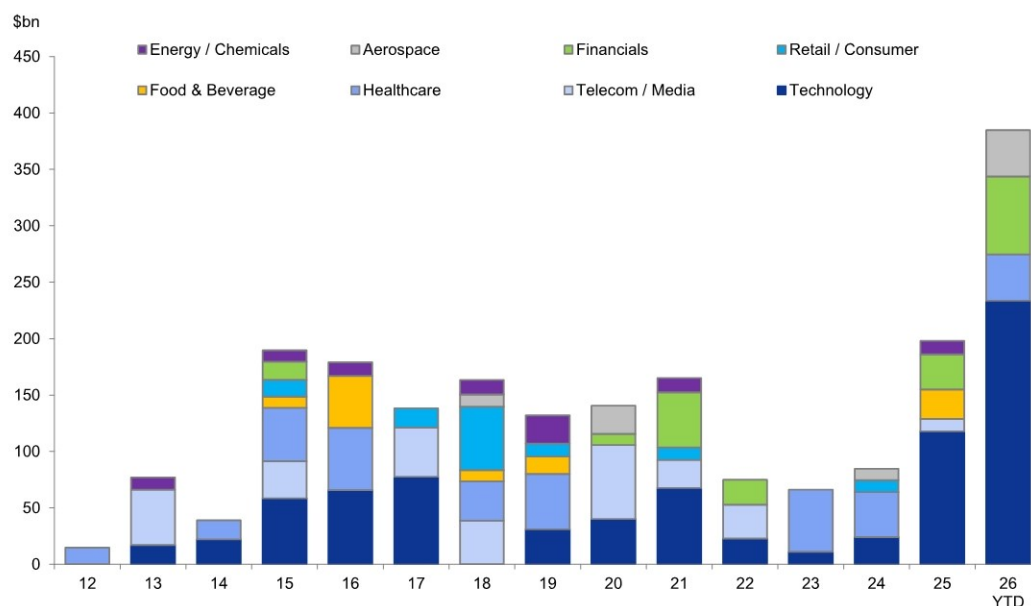
Source: Dealogic (ION Analytics), Goldman Sachs Global Investment Research

Jumbo deals have been driven by the Technology sector

As has been well-telegraphed, the Technology sector has driven a large share of the recent jumbo USD IG new issue activity. Across full-year 2025 and so far in 2026, Technology has generated roughly 60% of the value of jumbo USD IG debt issuance (Exhibit 3).

Exhibit 3: Technology, Healthcare, Financials and Aerospace have dominated this year's large USD IG debt deals

For each annual period and YTD 2026, the sum of all new USD IG debt deals valued at \$10bn or more at announcement, by sector



As of August 9, 2026.

Source: Dealogic (ION Analytics), Goldman Sachs Global Investment Research

Less M&A-related financing

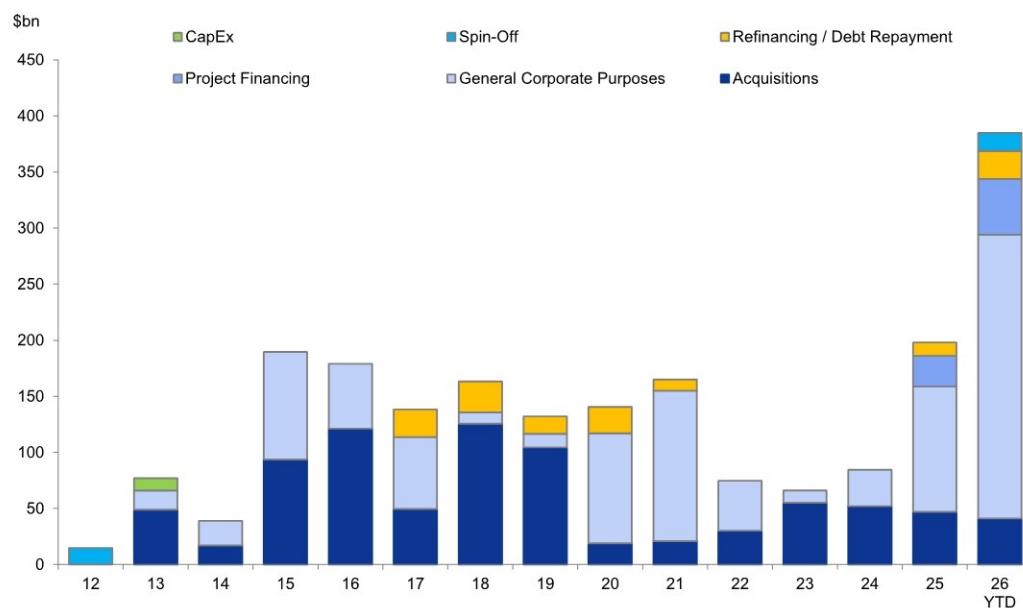
Another notable shift is the low share of jumbo debt deals driven by M&A. As shown in [Exhibit 4](#), just 11% of this year's jumbo USD IG volume has been associated with an acquisition. This compares to 24% in full-year 2025, and much higher shares in 2024 and 2023 (62% and 83%, respectively).

This is relevant, as jumbo debt deals associated with an acquisition are typically communicated well in advance, as management teams will typically outline the proforma capital structure for the combined entity upon (or shortly after) the M&A announcement. This gives investors ample time to prepare for a new debt deal, by speaking with management teams, analyzing combined credit metrics, and making portfolio shifts as appropriate.

Using granular data from Dealogic, our review of 25 of the largest USD IG debt financings (since 2010) associated with an acquisition found an average five-month difference between the acquisition announcement and the pricing of the associated debt financing.

Exhibit 4: Acquisitions have only generated 11% of this year's large USD IG debt deals

For each annual period and YTD 2026, the sum of all new USD IG debt deals valued at \$10bn or more at announcement, by primary use of proceeds



As of August 9, 2026.

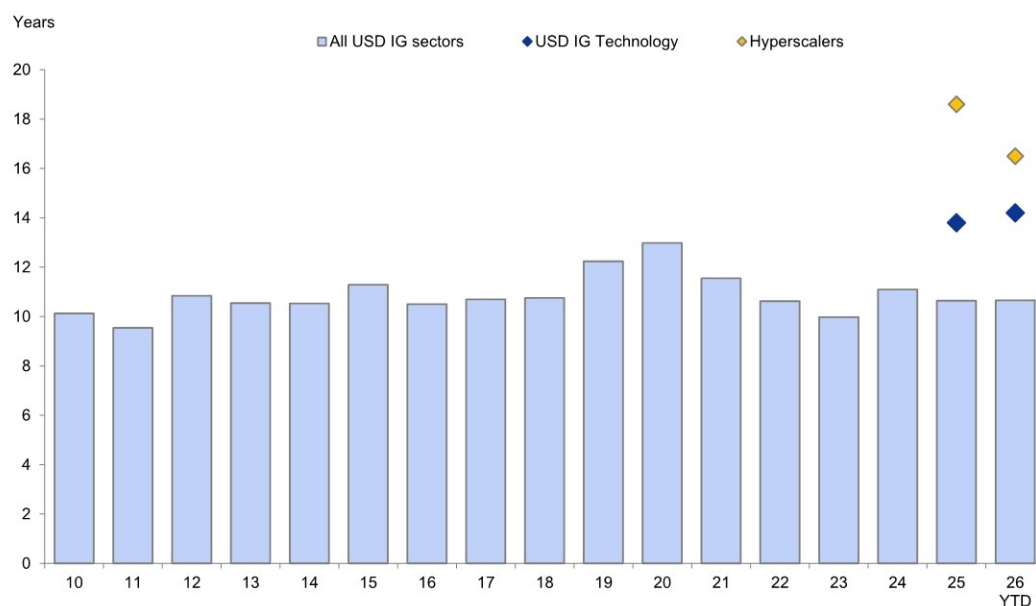
Source: Dealogic (ION Analytics), PitchBook LCD, Goldman Sachs Global Investment Research

Longer tenors

The tenor of this year's debt issuance has also been in focus. To assess this, we broaden our analysis to the entire USD IG new issue market, across all sizes and all sectors. As shown in [Exhibit 5](#), the weighted average tenor of all USD IG deals has been 10.7 years. This is consistent with 2025 (10.6 years) and slightly below 2024 (11.1 years).

Exhibit 5: The weighted average tenor of debt issued year-to-date from the USD IG Technology sector is 3.5 years longer than the broader market

Weighted average tenor (in years) for USD IG new issue activity



As of August 9, 2026. Hyperscalers include the following companies: Alphabet, Amazon, Microsoft, Meta, and Oracle. Excludes perpetuals.

Source: Bloomberg, Goldman Sachs Global Investment Research

That said, the weighted average Tenor of the USD IG Technology sector—which has generated more than 20% of this year’s total USD IG gross supply—is 14.2 years. The weighted average tenor of issuance from the group of five hyperscalers is even longer, at 16.5 years (again, [Exhibit 5](#)).

This means that in addition to having a concentrated *absolute* amount of issuance in the Technology sector, the tenor of that issuance has also been longer—which poses additional considerations for investors managing overall concentration and duration risk.

Thank you to Patricia Pacheco for her contribution to this publication.

Disclosure Appendix

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